

The Indian Contract Act, 1872

Section 1: Short title, extent and commencement.

This Act may be called the Indian Contract Act, 1872.

It extends to the whole of India.

Section 2: Interpretation-clause.

(a) When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal.

Penalty for breach of contract:

If a contract is broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage.